

the first leg during the corrective phase, and resumes the downward price trend in the second portion of the chart pattern.

**First leg.** The first leg begins when price reaches a new high and a trend change begins. Price declines, leaving a peak on the chart. From there, price continues lower, usually in a straight-line run down. Most times you can draw two parallel lines, one connecting the minor highs and another joining the minor lows, forming a down-sloping trend channel.

**Corrective phase.** The corrective phase stops the decline. Price can move horizontally, but usually retraces a portion of the losses of the first leg.

**Second leg.** When the second leg begins, the downturn resumes. Price usually follows the slope set by the first leg, but this varies from pattern to pattern. Of course, the two legs will not share the same trendline because the corrective phase offsets them. Even so, the second leg usually fits inside its own trend channel as price declines in a straight-line fashion. The second leg decline approximates the price decline set by the first leg and the time it took to accomplish it (in theory).

**Avoid.** There are several guidelines that you should follow when searching for a measured move down. Avoid patterns that show a rounded first leg, where price moves lower but curves around in a sort of rounding turn, scallop, or saucer. The trend should be a straight-line decline.

During the corrective phase, price should not rebound far enough to exceed the high set by the first leg. If price rises above the first leg high, then avoid the chart pattern. It's not a measured move down.

Watch for consecutive measured moves in a declining price trend. The downtrend will end eventually, so it is best to trade on the first or second measured moves and ignore the rest.

The last caveat is to consider the measure rule. I discuss the measure rule in the Trading Tactics section of this chapter, but the rule says the second leg will approximate the move of the first leg. If the first leg has a large decline, you may find that the predicted price is very close to zero or perhaps even negative. Obviously, the stock is not going to go negative and will probably remain far above zero, so you might look elsewhere for a more promising trade.